

think everyone had financial difficulties—even those who were wealthy. As long as you spend more than you make, everyone is a candidate. As I recount the story of Phil and Jose, keep in mind their salaries in relation to their financial situation.

One day when I dropped my car off for its maintenance checkup, the dealership gave me a ride to the convention center where I was scheduled to speak at a conference. On the way to the convention center I was driven by Phil, the owner of the dealership. On the way back, I was picked up by Jose, one of the dealership's mechanics. The two men were approximately the same age, but with very different salary levels.

I found out that the owner had an expensive home with a large mortgage. Phil also had a second mortgage, used to help pay his credit cards bills. He now owed almost \$80,000. Since Phil was the owner, he was not being harassed by the dealership's collection department for the missed payments on his automobile lease.

At home, Phil's two teenage sons continually asked him for money. They didn't have part-time jobs and expected their father to pay for their college education. Phil didn't know how he was going to be able to pay their tuition since his savings had been depleted by his debt obligations.

The mechanic, on the other hand, earned only one-third of what the owner did. Jose had a modest house with no mortgage. He had paid it off ten years early by making an extra payment each year. Jose had no credit card debt, following the principle that he wouldn't buy something if he didn't have the money for it. Even his new car was paid for in cash. Jose also had two teenage sons, but his sons had part-time jobs and were saving to help pay for their college education. Jose agreed to pay half their tuition if they paid the remainder. He was able to help out since he had been systematically saving 10 percent of his net income for the past twenty years. Jose now had a substantial amount accumulated in the bank.

